

RAKING IN THE MOOLAH

**WITH AGGARWAL'S
HOLDING IN OLA CABS
DWINDLING, HIS FOCUS
HAS SHIFTED TOWARDS
OLA ELECTRIC**

Transport Minister Nitin Gadkari wrote on Twitter. He added that if any company is found negligent in its processes, a heavy penalty will be imposed and a recall of all defective vehicles will be ordered.

NEED FOR SPEED

Bengaluru-based Ather Energy was one of the first movers in the electric two-wheeler space way back in 2013. Unlike Ola, it went slow and steady initially, but is now ramping up production and distribution capabilities. "An EV needs a whole lot of testing in real world conditions, which a lot of OEMs bypass. Simulations don't work. There's no substitute for running for lakhs of kilometres, getting data, rectifying and refining till you launch commercially," says Ravneet S. Phokela, Chief Business Officer of Ather Energy. "Which is why it took us five years of development of the battery before we launched our first scooter in 2018."

Ather's first commercial launch was limited to Bengaluru with just 150 units per month initially to be sure of the quality before starting to scale up. "Our customers have driven 128 million km so far and we're already supplying 3,000 units on a monthly basis," says Phokela. Since the company turned unit profitable a few quarters ago, it's now adding four to five new cities every month and is targeting 90-95 cities with 120 experience centres by the end of this financial year. "It's not a one-year journey to get this right. [A] revolution takes time," says Phokela.

For Aggarwal, though, speed is everything. "We had to set up a national logistics, warehousing, and RTO [regional transport office] engagement system on Day

One, because we also wanted to sell and distribute nationally, which no brand has done in automotive. Incumbent brands go city by city, dealer by dealer. We wanted the whole country to experience the product at the same time. Why should a Bengaluru customer have priority over a Bagdogra customer?" he questions. This ambition, perhaps, is what helped him achieve the highest EV two-wheeler sales in April-May 2022. But there's much to deliver yet. When it opened bookings in July, Ola Electric had claimed to have received orders for 100,000 units for its S1 model in the first 24 hours. Cumulatively, since January, it has delivered 36,043 scooters till May 31, according to the Federation of Automobile Dealers Association (FADA). This means, around 60,000 customers are still waiting for their vehicles to be delivered.

"Traditionally, auto OEMs had a way of working. Ather and Ola are trying to bring in a different kind of culture and technology in the auto space: mobile dashboards and connectivity. There is a culture clash that's happening. Eventually, Ola will also mellow down and find an equilibrium," says Sengupta of Avalon Consulting.

D2C DISRUPTION

Another disruption is Ola Electric's direct-to-customer (D2C) selling model by bypassing the age-old dealership model. "Consumers are used to the D2C model in other domains but not automotive, because the industry is more complex and slower moving. It's expected that the incumbents will feel a little uncomfortable with our approach. We started in December. It was slower than

